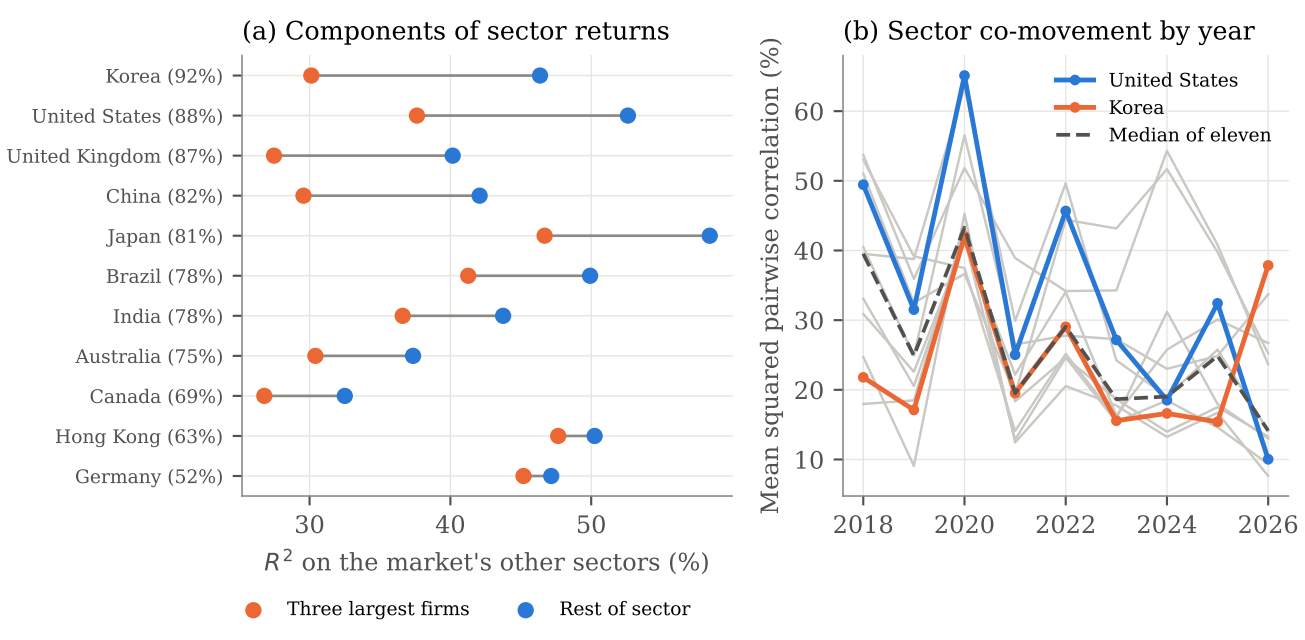
(a) Components of sector returns
Korea (92%)
United States (88%)
United Kingdom (87%)
China (82%)
Japan (81%)
Brazil (78%)
India (78%)
Australia (75%)
Canada (69%)
Hong Kong (63%)
Germany (52%)
30
40
50
R^2 on the market's other sectors (%)
Three largest firms
Rest of sector
(b) Sector co-movement by year
Mean squared pairwise correlation (%)
10
20
30
40
50
60
2018
2020
2022
2024
2026
United States
Korea
Median of eleven